

BEFORE THE APPELLATE AUTHORITY

THE PRINCIPAL COMMISSIONER OF CENTRAL TAX (APPEALS-1) UNDER
SECTION 85 OF FINANCE ACT, 1994

BENGALURU

GE INDIA INDUSTRIAL PRIVATE LIMITED
PLOT NO.122, FLOOR 7th, EPIP, PHASE-2
WHITEFIELD ROAD
BENGALURU URBAN – 560066

... THE APPELLANT

VERSUS

THE ASSISTANT COMMISSIONER OF CENTRAL TAX,
EAST DIVISION 7, EAST COMMISSIONERATE,
BMTc BUS STAND, HAL AIRPORT ROAD,
DOMLUR, BENGALURU – 560071

...THE RESPONDENT

Details of contact person			
Name	Designation	Mobile No.	Email id
Krishna Sharma	Vice President	9711166842	krishna.sharma@geaerospace.com
Karishma Shah	Authorised representative	9738222738	karishma.p@pwandaffiliates.com
Vishnu Kumar Kendole	Authorised representative	9398622546	Vishnu.kendole@pwandaffiliates.com

FORM ST – 4

**FORM OF APPEAL TO THE COMMISSIONER OF CENTRAL TAXES (APPEALS)
UNDER SECTION 85 OF THE FINANCE ACT, 1994**

IN THE MATTER OF:

GE INDUSTRIAL PRIVATE LIMITED
PLOT NO.122, FLOOR 7th, EPIP, PHASE-2
WHITEFIELD ROAD
BENGALURU URBAN – 560066

... APPELLANT

VERSUS

THE ASSISTANT COMMISSIONER OF CENTRAL TAX,
EAST DIVISION 7, EAST COMMISSIONERATE,
BMTc BUS STAND, HAL AIRPORT ROAD,
DOMLUR, BENGALURU – 560071

...RESPONDENT

1. No..... of 2025	Order-in-Original (OIO) No. 12 to 16/ 2024-25 (Legacy Refunds) – dated 1 st April 2025 received vide email dated 16 July 2025
2. Name and address of the Appellant	GE India Industrial Private Limited Plot No.122, Floor 7th, EPIP, Phase-2 Whitefield Road, Bengaluru Urban-560066
3. Designation and address of the officer passing the decision or order appealed against and the date of the decision or order.	The Assistant Commissioner of Central Tax, East Division 7, East Commissionerate, BMTc Bus stand, HAL Airport Road, Domlur, Bengaluru – 560071
4. Date of communication of the decision or order appealed against to the Appellant.	16 July 2025 vide email to Appellant from gst- bed7@gov.in

5. Address to which notices may be sent to the Appellant	GE India Industrial Private Limited Plot No.122, Floor 7th, EPIP, Phase-2 Whitefield Road, Bengaluru Urban-560066
5A (i) Period of dispute	January 2013 to March 2013
(ii) Amount service tax, if any, demanded for the period mentioned in column (i).	NA- appeal is against the order for rejection of refund.
(iii) Amount of refund if any claimed for the period mentioned in column (i)	Refund claimed- INR 53,54,148/- Refund sanctioned - INR 0/- Refund Rejected- INR 53,54,148/-
(iv) Amount of interest	Nil
(v) Amount of penalty	Nil
(vi) Value of the taxable service for the period mentioned in Col. (i).	NA
6. Whether service tax or penalty or interest or all the three have been deposited.	NA
6A. Whether the Appellant wishes to be heard in person?	Yes. At the earliest convenience of the Principal Commissioner (Appeals).
7. Relief claimed in Appeal	INR 53,54,148/- plus interest on the same

STATEMENT OF FACTS

As stated in Annexure – A

GROUND OF APPEAL

As stated in Annexure – B

PRAYER

As stated in Annexure – C

For GE India Industrial Private Limited

Signature of the Authorized

Representative, if any

(Authorized Signatory)

Signature of the Appellant

VERIFICATION

I, Krishna Sharma, in the capacity of Authorized Signatory of GE Industrial Private Limited, the Appellant, do hereby declare that what is stated above is true to the best of my information and belief.

Verified today, 11th day of September 2025.

For GE Industrial Private Limited

Place: Bengaluru

Date: 11th day of September 2025

Signature of the Appellant

(Authorized Signatory)

ANNEXURE - A

STATEMENT OF FACTS

1. We, GE India Industrial Private Limited (formerly known as “GE Global Technology Solution”)(herein referred to as "GE GTS Division" or "the Company" or “the Appellant”) were registered under Service Tax under the categories “Information Technology Software Services" and ‘Management, Maintenance or Repairs services’ vide registration No. AABCG12578ST008.
2. We are engaged in the exports of taxable services outside India without payment of service tax. In the absence of output service tax liability, the Appellant was not able to utilize the Cenvat credit of input service tax charged by domestic service providers. Hence, a refund application for the period January 2013 to March 2013 was filed under Rule 5 of CENVAT Credit Rules, 2004 on 28 September 2012, which allows for refund of accumulated CENVAT credit on account of export of services without payment of service tax. Refund application was filed under Rule 5 of CENVAT Credit Rules, 2004 read with Section 11B of the Central Excise Act, 1944 and Section 83 of the Finance Act, 1994. Notification No. 05/2006 CE dated 142 March 2006 superseded by Notification No. 27/2012 CE dated 18 June 2012 prescribe safeguards, conditions and limitations for the purpose of refunds filed under Rule 5 of CENVAT Credit Rules, 2004.
3. Subsequently, entire refund claim was rejected vide Order in Original No. 12 to 16/2024-25 (Legacy Refunds) dated 01 April 2025 received on 16 July 2025 (hereinafter referred to as the ‘impugned order’) passed by the Assistant Commissioner of Central Tax, East Division-7, Bengaluru East Commissionerate (hereinafter referred to as ‘the Respondent’).

SN	Period	Refund Amount	Refund Sanctioned	Refund Rejected	Ground of Rejection
1	January 2013 to March 2013	53,54,148	0	53,54,148	The refund claims are barred by delay and laches.

A copy of the impugned order is enclosed and marked as **Annexure 1** and a copy of refund applications for the period are enclosed and marked as **Annexure 2**.

Events leading to the issuance of the impugned order

4. On filing the refund application, Show Cause Notices (SCNs) C. No. IV/16/896/2013 /ST (R) DVN-1/1561/14 were issued for the refund claims. The Appellant filed a detailed and comprehensive reply to the show cause notices. The date of issue of SCNs and reply to SCNs for the refund claim is tabulated below:

Particulars	January 2013 to March 2013
Issue of Show Cause Notice	03 March 2014
Date of Reply to SCN	08 April 2014
Reference number (File C. No.)	C. No. IV/16/896/2013 /ST (R) DVN-1/1561/14

The copy of SCN and reply to SCN and additional submission if any is enclosed and marked as **Annexure 3 and Annexure 4** respectively.

5. Upon filing the reply to SCN, there was no progress on the said refund claims for a long period despite regular time to time follow-ups right from the date of filing the refund application. The Appellant submits that the Appellant had lodged claims for refund pertaining to the period post March 2013 and the same were taken up for processing by the adjudicating authority in the year 2019. It was informed to the Appellant back then by the authority that all the pending refund claims would be processed subsequently, in a phased manner. Thereafter, the Company started following up for the above -mentioned refund claim.
6. Considering the same, the Appellant had undertaken the following actions/follow up:

SN	Actions/Follow up	Date/Period
1	Consequent to the above response, the Appellant contended that the said refund applications and the SCN remain unprocessed since then. The Appellant submitted a request letter for allocation and processing for refund claim filed.	25 June 2020
2	Further, the Appellant submitted the request letter for processing the refund application. A copy of the request letter is enclosed as Annexure 5	22 October 2020

5	The Appellant has submitted a reminder letter to the adjudicating department to process the refund, based on the earlier response and request letter. Copy of the reminder letter enclosed as Annexure 6	25 January 2023
6	The Appellant attended the personal hearing, The record of the said hearing is enclosed herewith as Annexure 7.	9 October 2023
7	The Appellant submitted debit proof letter, indemnity bond and letter of undertaking. Copy of the Submission/Acknowledgement is enclosed as Annexure 8.	13 December 2023
8	The Assistant commissioner issued a letter seeking certain details of the refund claims and documentary evidence of follow-up with the department. Copy of the letter is enclosed as Annexure 9.	28 August 2024
9	The Appellant submitted a reply dated 28 August 2024 against the letter seeking details of chronology of the event. Copy of the Reply enclosed as Annexure 10.	27 September 2024
10	The Appellant attended the second personal hearing in relation to the above refund claims and requested to process the claims. The record of the said hearing is enclosed herewith as Annexure 11.	27 March 2025
11	Filed additional submission after the personal hearing. Copy of the Submission is enclosed as Annexure 12.	28 March 2025

7. The Appellant stated that the refund applications and the Show Cause Notice (SCN) have remained unprocessed since their submission. The Appellant mentioned that they have been consistently following up with the department to get the applications processed. Further a letter dated 28 August 2024 was issued to the Appellant, requesting submission of any correspondence made by the Appellant to the department for processing the refund claim. In response, the Appellant submitted a reply via letter dated 27 September 2024. Further, the Appellant provided attended the personal hearing on 27 March 2025 and submitted the additional submission dated 28 March 2025.
8. In para 10, the Respondent states that as per the available records, no such refund claims were pending in the division, Further, the Respondent also states that the Department underwent re-organisation during 2012 to 2017, and exclusive Service Tax Commissionerate were merged with Central Excise Commissionerate, resulting in the formation of new Commissionerate. Thereafter, upon introduction of GST, new GST Commissionerate with revised jurisdictions came into existence. As discussed above, the jurisdiction of the Appellant was changed consequent to the re-organisation. During such

re-organisations, all pending SCNs and refunds were migrated to the respective new Commissionerate. Considering the above re-organisations, only files related to pending refund claims were transmitted to the new jurisdictions.

9. Subsequently, the Appellant received the impugned order dated 01 April 2025 received on 16 July 2025 rejecting the refund claims for the period January 2013 to March 2013 on the grounds of doctrine of laches. Being aggrieved by the impugned order, the Appellant is now filing an appeal before the Commissioner (Appeals) on the grounds set forth in this appeal amongst those to be urged at the time of hearing for your kind consideration to set aside the order and grant absolute relief by way of allowing the refund along with interest.

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ANNEXURE B

GROUND OF APPEAL

At the outset, the Appellant does not agree with the Respondent rejecting the refund claims *vide* impugned order dated 01 April 2025 received on 16 July 2025, based on the submissions made hereinafter, which should be considered to have been made without prejudice to one another.

The impugned order passed by the Respondent is erroneous both on facts and in application of law and hence is liable to be set aside in entirety.

It is submitted that for the ease of pleading and convenience, the Grounds of Appeal covered in following submissions are titled as follows:

Para ref	Particulars	Page No.
1	Solitary responsibility to adjudicate the refund claims is of the Respondent and Doctrine of Laches is not applicable when the Respondent has failed to adjudicate the refund claims - The Respondent has failed to adjudicate the refund claim within the statutory timelines and the Appellant should not be prejudiced due to the failure of the Respondent - The components of laches are not satisfied in the current case - The judgement of the Hon'ble SC in the case of Chairman, U.P Jal Nigam & Anr Vs Jaswant Singh & Anr, as relied by the Respondent is not applicable in current case	11 to 17
2	The refund claims are rejected without establishing the fact that the same has already been adjudicated - No documentary evidence like deficiency memo or adjudication order of sanction/rejection has been referred / provided by the Respondent - Respondent has merely acted on apprehension and suspicion without producing any contrary evidence - The Respondent without any reason / justification has disregarded the certificate from the Chartered Accountant, Affidavit and financial statements submitted by the Appellant to justify that the refund claims have not been sanctioned, resulting in a non-speaking order	18 to 24

3	Appellant is eligible for interest payment under Section 11BB of CEA 1944	
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1. Solitary responsibility to adjudicate the refund claims is of the Respondent and Doctrine of Laches is not applicable when the Respondent has failed to adjudicate the refund claims: -

The Respondent has failed to adjudicate the refund claim within the statutory timelines and the Appellant should not be prejudiced due to the failure of the Respondent

- 1.1 Section 11B and 11BB of the Centra Excise Act, 1994 provides for the claim for refund of duty and interest. As per the said provision the refund application for refund of duty and interest must be made before the expiry of one year from the relevant date in such form and manner as may be prescribed and the application shall be accompanied by such documentary or other evidence.
- 1.2 Further, the refund application must be processed by the Respondent within three months of the receipt of the same.
- 1.3 In Para 21 of the impugned order, the Respondent stated that being a vigilant and aware citizen/legal person, the Appellant was expected to assert their claims with the department as soon as their rights are violated. In the current case, the Appellant has filed the refund application within one year from the relevant date in terms of Section 11B of the Central Excise Act, 1994 read with Rule 5 of the CENVAT Credit Rules, 2004 (the CENVAT Rules) read with Notification no. 5/2006 CE-NT dated 14 March 2006. Further, the Appellant upon the issuance of SCN, the Appellant has filed the reply to the SCN. The aforesaid facts are not disputed in the current case. In this regard, the Appellant submits that filing the refund application within the statutory limit itself mean that the Appellant has asserted their claims with the department. Further, the Respondent has not given any reason as to why the said refund claims have not been actioned.
- 1.4 Further, upon filing of the refund claim and the reply to SCN, it was the primary responsibility of the Revenue (i.e. the Respondent) to adjudicate the refund claims in the lines with the statutory provisions and timelines. The Respondent cannot justify its failure/delay by taking a plea that the Appellant has not approached the Respondent earlier.

- 1.5 In this regard, the Appellant wishes to place reliance on the judgment by **the Hon'ble Delhi High Court** in the case of **Indglonal Investment & finance Ltd. & ANR [Writ Petition (civil) no. 7127 of 2008]**. In the said case, the Hon'ble court relying upon the judgement of the **Hon'ble SC in the case of Ram Chand v. Union of India**, (1994) 1 SCC 44 held that once the refund has been applied and is entitled for, then the delay in making the refund is attributable to the authorities and that they cannot take the defence of laches. The aforesaid judgement has been enclosed herewith as **Annexure 13** and relevant extract is reproduced hereunder for ready reference:

*27. Plea of the respondent relying upon the doctrine of delay and laches has to be rejected. Apart from the facts noticed above, **once it is held that the petitioner had applied for and is entitled to refund, then the delay in making the refund is attributable to the respondent.** The respondent rejected the claim for refund only vide order dated 23rd August, 2007 and the petitioner filed the present writ petition in 2008. The petition has remained pending for last 3 years.*

*28. In **Ram Chand v. Union of India**, (1994) 1 SCC 44, the Supreme Court has observed that if the statutory authority has not performed its duty within a reasonable time, it cannot justify the same by taking the plea that the person who has been deprived of his right has not approached the appropriate forum for relief. It was held:*

“16. On behalf of the respondents, it was pointed out that the petitioners have approached this Court only after making of the awards, or when awards were to be made, having waited for more than fourteen years, without invoking the jurisdiction of the High Court under Article 226 or of this Court under Article 32. It is true that this Court has taken note of delay on the part of the petitioners concerned in invoking the jurisdiction of the High Court or of this Court for quashing the land acquisition proceedings on the ground that the proceedings for acquisition of the lands in question have remained pending for more than a decade, in the cases of Aflatoon v. Lt. Governor of Delhi and Ramjas Foundation v. Union of India. According to us, the question of delay in invoking the writ jurisdiction of the High Court under Article 226 or of this Court under Article 32, has to be considered along with the inaction on the part of the authorities, who had to perform their statutory duties. Can the statutory authority take a plea that although it has not performed its duty within a reasonable time, but it is of no consequence because the person, who has been wronged or deprived of his right, has also not invoked the jurisdiction of the

High Court or of this Court for a suitable writ or direction to grant the relief considered appropriate in the circumstances? The authorities are enjoined by the statute concerned to perform their duties within a reasonable time, and as such they are answerable to the Court why such duties have not been performed by them, which has caused injury to claimants. By not questioning, the validity of the acquisition proceedings for a long time since the declarations were made under Section 6, the relief of quashing the acquisition proceedings has become inappropriate, because in the meantime, the lands notified have been developed and put to public use. The lands are being utilised to provide shelter to thousands and to implement the scheme of a planned city, which is a must in the present set-up. The outweighing public interest has to be given due weight. That is why this Court has been resisting attempts on the part of the landholders, seeking quashing of the acquisition proceedings on ground of delay in completion of such proceedings. But, can the respondents be not directed to compensate the petitioners, who were small cultivators holding lands within the ceiling limit in and around Delhi, for the injury caused to them, not by the provisions of the Act, but because of the non-exercise of the power by the authorities under the Act within a reasonable time?"

29. In the present case **the respondent has deprived the petitioner of its money which was refundable as per statute. The question of delay invoking writ jurisdiction has to be considered with a duty cast by the statute on the authority. When a statutory authority does not pass any order and fails to comply with the statutory mandate within reasonable time, they cannot take the defence of laches and delay.** Delay in such cases furnishes cause of action and right to the petitioner to approach courts. Of course if the respondent had rejected the refund claim but the petitioner had kept quiet and thereafter approached the court after considerable delay, different consequence would flow. It was the respondent's statutory duty to act within a reasonable time. State is a virtuous litigant and should meet honest claims (See **Dilbagh Rai Jarry Vs. Union of India** (1974) 3 SCC 554 and **Madras Port Trust Vs. Hymanshu International** (1979) 4 SCC 176)... (emphasis supplied)

- 1.6 As can be seen above, the Hon'ble SC and Delhi HC have held that once the refund has been claimed by the claimant and the authorities have delayed / failed to adjudicate the same, the responsibility towards the delay is of the authorities and that doctrine of laches cannot be invoked in such cases.

The doctrine of laches does not apply to the Appellant

- 1.7 The Appellant submits that doctrine of laches is not applicable in the current case as the Appellant had taken all actions required under the applicable statute for claiming the refund. It filed the refund claims within the timelines allowed under the Law. The delay or laches have only been on the part of the Respondent to adjudicate the aforesaid refund claims ever after receipt of the reply to the SCN.
- 1.8 In para 12 and 13 of the impugned order, the Respondent has mentioned the components of the laches which needs to be satisfied cumulatively in order to apply the doctrine. The said para is reproduced hereunder for ready reference:

13. At this point it is important to discuss about what is laches and what are it's components. Laches can be understood as undue delay in asserting one's rights/claims. It flows from the principle that the courts/authorities won't come to rescue of those people who are not vigilant about their rights or unduly delays asserting their rights. In other words, it means that failure to assert one's rights in a timely manner can result in a claim being barred by laches.

Following are the components of laches

A) The claimant must be aware of the rights in advance.

B) There must be unreasonable delay in asserting the claim leading to acquiescence on their part

C) Delay prejudices the other party

- 1.9 Further, in para 14 of the impugned order, the Respondent has referred to the judgement of the Hon'ble Supreme Court in the case of Chairman, U.P Jal Nigam & Anr Vs Jaswant Singh & Anr. which explained the nature of laches. The said para is reproduced hereunder for your ready reference:

14. The honourable Supreme court of India in case of Chairman, U.P Jal Nigam & Anr Vs Jaswant Singh & Anr. Explained the nature of laches as quoted below. The statement of law has also been summarized in Halsbury's Laws of England, Para 911 pg. 395 as follows :

*" In determining whether there has been such delay as to amount to laches, the chief points to be considered are : (i) acquiescence on the claimant's part; and (ii) any change of position that has occurred on the defendant's part. **Acquiescence in this sense does not mean standing by while the violation of a right is in progress, but assent after the violation has been completed and the claimant has become aware of it.** It is unjust to give the claimant a remedy where, by his conduct, he has done that which might fairly be regarded*

as equivalent to a waiver of it; or whereby his conduct and neglect, though not waiving the remedy, he has put the other party in a position in which it would not be reasonable to place him if the remedy were afterwards to be asserted. In such cases lapse of time and delay are most material. Upon these considerations rests the doctrine of laches.”

- 1.10 In the above judgement, the Hon’ble SC has provided 2 points to be considered in order to determine if delay amounts to laches. The Appellants’ submissions on the same areas under:

(i) acquiescence on the claimant's part: The SC in the same para has also provided the meaning of the term Acquiescence to mean that ‘*Acquiescence in this sense does not mean standing by while the violation of a right is in progress, but assent after the violation has been completed and the claimant has become aware of it*’. As can be seen, the SC has held that acquiescence on the claimant’s part will be considered only if the claimant has assented upon completion of violation being completed and the claimant has become aware of it. In the current case, the Appellant had filed the refund applications and the reply to SCN within the timelines and there has been a delay on the part of the Respondent in adjudicating the said refund claims. Further, upon receipt of the response that no orders are available with the Respondent, the Appellant themselves filed intimations with the Respondent to adjudicate the said refund claims and pass the orders for sanction of the said refund claims. The Appellant submits that it has not assented to the violation on becoming aware of it and in fact pursued the matter with the Respondent for adjudication and sanction of the refund

(ii) any change of position that has occurred on the defendant's part: In the current case, the Appellant submits that there is no change in the Respondent’s position as the said refund claims have not been sanctioned to the Appellant and the Respondent is liable to sanction the same under the Statute i.e. the Finance Act, 1994 read with relevant Rules and notifications. Further, there has been no conduct by the Appellant which can be regarded as waiver of the refund nor it is not reasonable for the Respondent to sanction the refund claims as the Appellant is eligible for the same, the fact which is undisputed. Hence, the Appellant submits that there has been no change in the position on the Respondent’s part.

- 1.11 Further, the delay in sanction of the refund claim does not prejudice the Respondent as the Respondent had issued the SCN and response was also filed, and the Respondent was liable to adjudicate the refunds which has not been done. Hence, it is the Respondent who were required to adjudicate the refund claims and who is at fault. In

fact, the Appellant has been prejudiced by non-adjudication of the aforesaid refund claims.

The judgement of the Hon'ble SC in the case of Chairman, U.P Jal Nigam & Anr Vs Jaswant Singh & Anr, as relied by the Respondent is not applicable in current case

- 1.12 In Para 14 and 23 of the impugned order, the Respondent has relied on the judgement by Hon'ble Supreme Court of India in case of Chairman, U.P Jal Nigam & Anr Vs Jaswant Singh & Anr. to ascertain if the doctrine of laches would be applicable in the current case. The Appellant submits that the said judgement is not relevant in the current case.
- 1.13 The above case referred by the Respondent deals with the issue of retirement age of employees of the UP Jal Nigam (the Nigam). In the said case, the employees of the Nigam were retired on attaining the age of 58 years, whereas the State Government employees were allowed to continue up to the age of 60 years and therefore, the case was pending before the hon'ble SC that they should also be allowed to continue up to the age of 60 years. The hon'ble SC in this case held that the employees of the Nigam are entitled to continue their service until the age of 60, in line with the State Government's retirement policy. However, some of the petitions filed by the employees who retired on attaining the age of 58 years long back have been dismissed. It was held that only those employees who have filed the writ petitions when they were in service or who have obtained interim order for their retirement, those persons should be allowed to stand to benefit and not others.
- 1.14 On comparing the above case with the Appellant's case, it is pertinent to note that the Appellant has asserted its right by filing the refund claim within the statutory timelines, the Respondent had also issued the SCN against which the response was also filed by the Appellant. It is after that there is no action taken by the Respondent in adjudicating the refund claims. As can be seen, the Appellant had asserted its right by filing the refund application in its case, whereas in the above case there was no action/assertion of right by the retired employees while they were in service and hence, the petitions were dismissed.
- 1.15 Considering that the Appellant has exercised its right by filing the refund claim and appropriately responding to the SCN, the Appellant submits that the case relied upon by the Respondent is relevant in the current case.

- 1.16 Considering that the Appellant has asserted its right by claiming the refund and the Respondent has not failed to adjudicate the said refund claims within the timelines, the Appellant submits that impugned order rejecting the refund claim should be set aside.

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2. The refund claims are rejected without establishing the fact that the same has already been adjudicated

No documentary evidence like deficiency memo or adjudication order of sanction/rejection has been referred / provided by the Respondent

- 2.1 In relation to the aforesaid refund claims, the Appellant has established that the same are pending for adjudication by the Respondent by submitting the refund application, reminder letters, declaration-cum-undertaking, Debit proof letter and indemnity bond.
- 2.2 It is pertinent to note that nowhere in the impugned order, the Respondent has established that the said refund claims have been adjudicated, nor they have provided the any copy of the adjudication order to substantiate that the refund claims are adjudicated.
- 2.3 In Para 18 of the impugned order, the Respondent stated that, there were monitoring mechanism of refunds in place during all material time. The Respondent has presumed that the refund applications not transmitted to the new jurisdiction were disposed of either through deficiency memos or sanction/rejection orders. However, no documentary evidence has been provided to substantiate such disposal. The mere absence of transmission cannot be equated with adjudication, especially when no deficiency memo or adjudication order has been served to the Appellant.
- 2.4 The Appellant wishes to submit that, if there were monitoring mechanism of refunds in place during all material time, then the Respondent would have documentation regarding the said refund claims. The Respondent would have referred or produced the deficiency memo or adjudication order to establish that the said refunds are already adjudicated and disposed off. The **Respondent has not brought in any supporting evidence** to substantiate that the said refund claims are already disposed off. Hence, the assertion that there is no provision to reopen decided matters is misplaced in the present context. The refund claims in question were never conclusively adjudicated, and therefore, cannot be considered as “decided.” The issuance of Show Cause Notices (SCNs) and conduct of personal hearings without any final order being communicated indicates that the process remained incomplete.
- 2.5 The delay of over seven years in adjudicating the refund claims is not due to any fault or omission on the part of the Appellant. The Appellant has complied with all procedural requirements and has actively pursued the claims. The absence of adjudication orders and lack of communication from the department further reinforce the pendency of these claims.

- 2.6 The department's own admission that refunds claims before October 2011 and after March 2013 were processed, while selectively denying adjudication of claims within the intervening period, reflects inconsistency and arbitrariness. Such selective treatment violates principles of natural justice and fair administration

Respondent has merely acted on apprehension and suspicion without producing any contrary evidence

- 2.7 Following observations in the impugned order reveal that the rejection of the refund is based in irrelevant and unlawful considerations

18 Monitoring mechanism of refunds filed were in place during all material time. The very fact that the refund applications mentioned by the assessee were not transmitted to the new jurisdiction would imply that the same were disposed off either by way of issuance of deficiency memo or by passing order of sanction/rejection...

"26. Second issue in this regard is if the claim of the Appellant is accepted will it have negative impact on the departmentThe combined value of refund claimed through the refund application under consideration is Rs.2,943,792. Therefore, if the Appellant claim has to be accepted, that will put fiscal burden of about Rs. 2,943,792 on the government/public exchequer. Further, if the claims of the Appellant are entertained more such claims may be advanced by other Appellants putting undue burden on the exchequer.

- 2.8 The appellant respectfully submits that the concern regarding fiscal burden on the public exchequer is misplaced in the present case. While it is acknowledged that refund is not an unfettered right, as held in the Mafatlal Industries judgment, the appellant's claims are backed by statutory provisions and were filed within the prescribed framework. The delay in adjudication is not attributable to the appellant but rather to administrative restructuring and lack of communication from the department. The refund amount claimed is legitimate and supported by documentation and denying it solely on the basis of potential future claims or presumed inactivity would be unjust and contrary to principles of fairness. The appellant has consistently pursued the claims and cannot be penalized for systemic delays beyond their control.

- 2.9 Further, the Respondent had merely assumed that the refund claims would have been adjudicated without verifying the same from their records and justifying the same with the help of documents. Thus, the conclusion arrived at by the respondent that the refund applications are not pending is (a) based on conjectures; (b) in disregard to the evidence placed on record by the Appellant and (c) without any material or evidence. It

is a trite law that the conclusions of any quasi-judicial authority should be based on facts ascertained from evidence and not imaginary nor based on surmises.

- 2.10 The Respondent has merely acted on assumption stating that applications were not transmitted to the new jurisdiction would imply that the same were disposed off. The Respondent is not sure if the refund claims are adjudicated or not but merely implied/assumed that the refunds are disposed off.
- 2.11 The Respondent without considering the supporting evidence submitted by the Appellant like financial Statements of the Appellant, indemnity bond, letter of undertaking, merely acted on the apprehension and suspicion and reached the conclusion that the refund claims are disposed off without establishing any contrary evidence on record before it.
- 2.12 Reliance in this regard is placed on the below judgements wherein it was observed that the conclusions/ findings without any evidence is rejected by the courts:

- The Supreme Court in the case of ***Omar Salay Mohamed Sait Versus Commissioner of Income-Tax, Madras [1959 (3) TMI 2 - SUPREME COURT]*** wherein it was held that the conclusions reached by the Tribunal should not be coloured by any irrelevant considerations or matters of prejudice. Further, it was held that the Tribunal's findings should not be on suspicion and should not act without any evidence. The Order passed by the Appellate Tribunal was set aside and remanded back to the Appellate Tribunal. Relevant extract of the judgement is reproduced hereunder:

*"We are aware that the Income-tax Appellate Tribunal is a fact-finding Tribunal and if it arrives at its own conclusions of fact after due consideration of the evidence before it this court will not interfere. It is necessary, however, **that every fact for and against the assessee must have been considered with due care and the Tribunal must have given its finding in a manner which would clearly indicate what were the questions which arose for determination, what was the evidence pro and contra in regard to each one of them and what were the findings reached on the evidence on record before it.** The conclusions reached by the Tribunal should not be coloured by any irrelevant considerations or matters of prejudice and if there are any circumstances which required to be explained by the assessee, the assessee should be given an opportunity of doing so. **On no account whatever should the***

Tribunal base its findings on suspicions, conjectures or surmises nor should it act on no evidence at all or on improper rejection of material and relevant evidence or partly on evidence and partly on suspicions, conjectures or surmises and if it does anything of the sort, its findings, even though on questions of fact, will be liable to be set aside by this court.”

- In the case of ***Oudh Sugar Mills Ltd. Versus Union of India [1962 (3) TMI 75 - Supreme Court]*** the primary issue was whether the appellant had failed to account for 11,606 maunds of sugar. The Assistant Chemical Examiner's report alleged that the appellant had not kept correct accounts of the mixed juice used in sugar production, resulting in a shortfall. The report was based on a test conducted, which found a 1% discrepancy in the mixed juice accounting. The calculations assumed that this discrepancy was uniform throughout the crushing season. The Court noted that these calculations involved several assumptions, such as uniformity in the filling of tanks and the average sugar recovery rate. **The Court found these assumptions to be unwarranted and concluded that the finding of short accounting was based on inferences without tangible evidence, thus vitiated by an error of law.**

- 2.13 Having said the above, the impugned order passed by the Respondent rejecting the refund claims without producing any evidence is liable to set aside.

The Respondent without any reason / justification has disregarded the letter of undertaking, indemnity bond, and financial statements submitted by the Appellant to justify that the refund claims have not been sanctioned, resulting in a **non-speaking order**

- 2.14 In Para 8 of the impugned order, the Responded stated that the Appellant placed reliance on the service tax receivables shown in the financial statements to claim that they not received the said refunds and nowhere in the financial statements refund period wise breakup was provided. So, from the financial statements it can't be said that above said refund claims are pending.
- 2.15 The Appellant wish to submit that *vide* letter dated 02 November 2023 (submitted on 13 December 2023) – refer **Annexure 8**, the Appellant has submitted the details of the period and service tax amount which is disclosed as 'Service Tax Receivable' under the 'Other financial asset-non-current' of the balance sheet of the Company.

- 2.16 Further, the Appellant has submitted the Letter of undertaking and indemnity bond on 13 December 2023– refer **Annexure 8**, to substantiate that the refund claims are not received by the Appellant. As per the judicial precedence, the same should be given substantive value and basis the same it can be substantiated that refund claims are pending for processing.
- 2.17 Further, the Respondent has not provided any reasons in the impugned order for not considering the details of the period wise breakup of the service tax, letter of undertaking and indemnity bond and that the impugned order is liable to be quashed on this ground as well. Hence, the Appellant submits that the impugned order is a non-speaking order.
- 2.18 The Appellant submits that an order / judgement without reasons causes prejudice to the person against whom it is pronounced, as the litigant is unable to know the ground which weighed by the court in rejecting his claim and also causes impediments in his taking adequate and appropriate grounds before the higher court in the event of challenge to that judgment. In this regard, the Appellant wishes to draw your kind attention towards the following judicial precedents where non-speaking orders and orders not providing reasons for arriving at conclusions, have been rejected by various courts, as being invalid:

- In the case of ***State of U.P. v. Battan and Ors.* - 2000 (5) TMI 1074 - Supreme Court**, the Hon'ble Supreme Court held as under:

"The High Court has not given any reasons for refusing to grant leave to file appeal against acquittal. The manner in which appeal against acquittal has been dealt with by the High Court leaves much to be desired. Reasons introduce clarity in an order. On plainest consideration of justice, the High Court ought to have set forth its reasons, howsoever brief, in its order. The absence of reasons has rendered the High Court order not sustainable."

- In **Assistant Commissioner, Commercial Tax Department, Works Contract and Leasing, Kota v. Shukla and Brothers, 2010 (4) TMI 139 - Supreme Court**, the Hon'ble Supreme Court held that:

"22. By practice adopted in all Courts and by virtue of judge made law, the concept of reasoned judgment has become an indispensable part of basic rule of law and, in fact, is a mandatory requirement of the procedural law. Clarity of thoughts leads to clarity of vision and proper reasoning is the foundation of a just and fair decision. In the case of Alexander Machinery

(Dudley) Ltd. (supra), there are apt observations in this regard to say "failure to give reasons amounts to denial of justice". Reasons are the real live links to the administration of justice. With respect we will contribute to this view. There is a rationale, logic and purpose behind a reasoned judgment. A reasoned judgment is primarily written to clarify own thoughts; communicate the reasons for the decision to the concerned and to provide and ensure that such reasons can be appropriately considered by the appellate/higher Court. Absence of reasons thus would lead to frustrate the very object stated hereinabove. The order in the present case is as cryptic as it was in the case of Sunil Kumar Singh Negi (supra). Being a cryptic order and for the reasons recorded in that case by this Court which we also adopt, the impugned order in the present appeal should meet the same fate."

- In **Essen Dyechem Through Proprietor Nitenbhai Navinchandra Vasa v. State of Gujarat in 2019 (10) TMI 365** the Hon'ble Gujarat High Court held as below:

"In the absence of any reasons for arriving at his conclusions, it is not possible for an appellate court to ascertain as to what weighed with the second respondent while arriving at his decision. As held by the Supreme Court in the above decisions, a quasi-judicial authority must record reasons in support of its conclusions. A litigant who approaches the court with any grievance in accordance with law is entitled to know the reasons for grant or rejection of his prayer. Reasons are the soul of orders. Non-recording of reasons could lead to dual infirmities; firstly, it may cause prejudice to the affected party and secondly, more particularly, hamper the proper administration of justice. A judgment without reasons causes prejudice to the person against whom it is pronounced, as that litigant is unable to know the ground which weighed with the court in rejecting his claim and also causes impediments in his taking adequate and appropriate grounds before the higher court in the event of challenge to that judgment. It cannot be gainsaid that since the impugned order is a non-reasoned order, the petitioner is unable to know the ground which weighed with the second respondent while rejecting his submissions.

- In **Lord Denning, M.R. In Breen v. Amalgamated Engg. Union** [Appeal (Civil) 2900 of 2007] it was observed in respect of administrative orders:

"The giving of reasons is one of the fundamentals of good administration." In *Alexander Machinery (Dudley) Ltd. V/s. Crabtree* it

was observed: "Failure to give reasons amounts to denial of justice." "Reasons are live links between the mind of the decision-taker to the controversy in question and the decision or conclusion arrived at." Reasons substitute subjectivity by objectivity. The emphasis on recording reasons is that if the decision reveals the "inscrutable face of the sphinx", it can, by its silence, render it virtually impossible for the Courts to perform their appellate function or exercise the power of judicial review in adjudging the validity of the decision. Right to reason is an indispensable part of a sound judicial system; reasons at least sufficient to indicate an application of mind to the matter before Court. Another rationale is that the affected party can know why the decision has gone against him. One of the salutary requirements of natural justice is spelling out reasons for the order made; in other words, a speaking-out. The "inscrutable face of the sphinx" is ordinarily incongruous with a judicial or quasi-judicial performance."

- To this end, a similar view was also taken in the below judicial precedents:
 - Oryx Fisheries Private Limited vs UOI - 2010 (10) TMI 660
 - Raj Kishore Jha v. State of Bihar and Ors. - 2003 (10) TMI 640
 - Topsel Private Limited v. Goods and Service Tax Council Secretariat & Ors. [2022 (4) TMI 1196]
 - State of Rajasthan v. Rajendra Prasad Jain Criminal Appeal No. 360/2008 (Arising out of SLP (Crl.) No. 904/2007) - 2008 (2) TMI 938
 - State of Orissa v. Dhaniram Luhar - 2004 (2) TMI 687
 - M/s U P State Spinning Co Ltd vs CCE, Allahabad (2012-TIOL-762-CESTAT-DEL)
 - Kranti Associates Private Limited and another v. Masood Ahmed Khan and others, (2010) 9 SCC 496
 - State of Uttaranchal v. Sunil Kumar Singh Negi - 2008 (3) TMI 684

2.19 Basis the above, the Appellant submits that the impugned order, being a non-speaking, one should be set aside.

3. Appellant is eligible for interest payment under Section 11 BB of CEA 1944

3.1 It is submitted that the Appellant is eligible for interest on the delay in processing the refund as per Section 11 BB of the Central Excise Act 1944. The relevant abstract of the said section is provided below for ease of reference:

"If any duty ordered to be refunded under sub-section (2) of section 11B to any applicant is not refunded within three months from the date of

*receipt of application under sub-section (1) of that section, there shall be paid to that applicant interest at such rate, not below five per cent and not exceeding thirty per cent per annum as is for the time being fixed by the Central Government, by notification in the official gazette, on such duty **from the date immediately after the expiry of three months from the date of receipt of such application till the date of refund of such duty:***

.....
Explanation. *Where any order of refund is made by the Commissioner (Appeals), Appellate Tribunal or any court against an order of the Assistant Commissioner of Central Excise or Deputy Commissioner of Central Excise, under sub-section (2) of section 11B, the order passed by the Commissioner (Appeals), Appellate Tribunal or, as the case may be, by the court shall be deemed to be an order passed under the said sub-section (2) for the purposes of this section”*

- 3.2 The Appellant submits that in terms of section 11BB, the authorities have to refund the amount with interest, after a lapse of three months from the date of preferring the refund claim. The Appellant places reliance on the case of **Shroff United Chemicals Ltd Vs UoI 2011-TIOL-411-HC-MUM-ST** wherein the Hon’ble Mumbai High Court held that the assessee is eligible for interest on the refund claim after a lapse of three months from the date of filing the refund claim in terms of Section 11BB of the Central Excise Act, 1944.
- 3.3 Reliance is also placed on the decision of the Larger Bench of the Tribunal in **Rama Vision Vs. CCE, 2004 (170) ELT 13 (T-LB)**, wherein it has been held that the period laid down in section 11BB commences with the expiry of three months from the date of receipt of the refund application and would be till the date of refund. The Tribunal held that the period remained the same even when the refund application was originally rejected by the Asst. Commissioner and later on, sanctioned by an Appellate Authority. It was also held that law requires that the interest be paid from the date immediately “after the expiry of three months from the date of such application till the date of refund of such application”.
- 3.4 The Appellant places reliance on the ratio laid down by the Apex Court in **Prathibha Processors vs. UOI, 1998 (88) ELT 12 (SC)**, wherein it was held that “interest is an accessory to the principal, once the principal is payable, interest necessarily follows.”

3.5 In addition to above submission, reliance is also placed on the following pronouncements wherein it was held that the Appellant is entitled to interest on delayed refund from the expiry of three months from the date of application of the refund:

- a) *Ranbaxy Laboratories Ltd. Vs. UOI [2011 (273) ELT 3 (SC)] = 2011-TIOL-105-SC-CX*
- b) *M/s Jubilant Biosys Ltd No 96, Industrial Suburb, 2nd Stage, Industrial Area Bangalore-560022 Karnataka Vs Commissioner of Service Tax Bangalore Service Tax-I 2018-TIOL-65-CESTAT-Bangalore*
- c) *M/S Videocon Industries Ltd Vs Commissioner of Central Excise, Bangalore-I- 2017-TIOL-1840-CESTAT-BANG*
- d) *Jindal Drugs Pvt Ltd formerly known as M/s Jindal Drugs Ltd Vs Union of India through the Secretary Department Of Revenue North Block New Delhi And Others 2016-TIOL-2432-HC-MUM-CX*

3.6 In light of the above, the Appellant pleads that it is eligible for the interest due to delay in sanction of the aforesaid refunds.

ANNEXURE-C

PRAYER

In light of the above grounds of this appeal, the Appellant respectfully prays that the learned Assistant Commissioner (Appeals) may be pleased –

1. Set aside the impugned order and sanction the refunds along with interest;
2. The Appellant craves leave to add, to alter, to amend and/or to modify all or any of the aforesaid submissions;
3. The Appellant prays that a personal hearing be granted before any decision is taken in this matter and also craves leave to produce documents / records / case laws during the personal hearing granted to them.
4. For which act of justice and fairness the Appellant would as in law be duty bound, beholden and pray for justice.

For GE India Industrial Private Limited

(Authorised Signatory)

Enclosures: As above